

Reason Before Result

ALPACA PAPER OPTIONS AGENT

An auditable AI trader that writes the judgment before it can place the order.

READ -> JUDGE -> GATE ALL 7 RULES -> PLACE VIA ALPACA MCP -> APPEND RECEIPT

01 The AI logic

The agent reads the paper account, market clock, SPY price, and option chain through Alpaca MCP. A pure selector proposes a small defined-risk structure, then writes every leg, max gain/loss, break-evens, thesis, invalidation, and exit plan before any gate or order action.

02 The risk gate

Every proposal runs all seven rules: paper account, defined risk, 2% per-trade loss cap, 3% daily stop, usable quotes, bounded expiry, and position cap. Unknown structures, missing quotes, bad types, parser failures, and exceptions fail closed. A HELD result is normal and fully explained.

03 How Alpaca is connected

The execution hand launches the official alpaca-mcp-server over stdio. MCP tools provide account state, clock, positions, market data, orders, and multi-leg option execution. The only multi-leg order path delegates to place_option_order; no direct HTTP fallback exists.

04 Independent verification

Judges receive the dedicated paper account ID privately, so they can verify options activity and P&L. The public repository exposes the MCP path, pure gate, deterministic tests, and credential-free demo. The video shows the written judgment, every gate receipt, safe MCP tool trace, and Alpaca paper receipt.

What the artifact proves

ORDER OF OPERATIONS

A persisted judgment exists before the gate or broker call.

FAIL-CLOSED SAFETY

All seven checks emit receipts; uncertainty stops instead of guessing.

AUDITABLE EXECUTION

Append-only events connect the judgment, gate decision, MCP tool, and paper receipt.